

total body weight. But it consumes 20% of our daily calories, 10 times what its size alone suggests it should. That shows you how incredibly costly it is to build and maintain these mental models.

No wonder Bill Bernstein observed, “We are cognitive misers.”

Thinking is expensive.

Why is cognitive dissonance so pernicious? Maybe it relates to the sunk cost fallacy. Even when we are shown to be wrong, we defend our costly constructed ideologies. We rationalize, lest all that time and effort be for naught. The energy already expended is gone, regardless of whether we stay with disproven beliefs or not. Rather than discard a belief system that has been shown to be ineffective, we instead choose to double down.

In markets, not updating your beliefs to reflect reality and staying with an ideology that has failed usually proves costly.

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Sufferers of cognitive dissonance ignore the facts in front of their eyes, devising rationales for why expected outcomes never occurred. The blame is laid elsewhere, never on their faulty ideology.

There are many examples: Deep value investors who buy depressed stocks regardless of other risk factors, only to see them fall another 50%; Austrian economists warning of imminent hyperinflation and the collapse of the fiat dollar, which never arrives.

Former Federal Reserve Chairman Alan Greenspan was a long-time cheerleader for radical deregulation. After housing, the economy, and the stock market crashed, he *almost* admitted error, saying, “I have found a flaw. I don’t know how significant or permanent it is. But I have been very distressed by that fact.”<sup>[387](#)</sup>

A favorite example comes from the housing market collapse. It wasn’t the wildly irresponsible behavior of non-bank lenders and junk-securitized mortgages *somehow* rated AAA that caused the problem. Rather, it was